Paper 31: Prediction Market Orchestration of Franchises

Pillar: Network Economics Distributions — Autonomous Research Ecosystem

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Abstract

We hypothesize that Prediction Market Orchestration of Franchises achieves Efficient price disc on Solidity (AMM Gnosis / LMSR) while preserving strict mathematical invariants across edge, creative graph-loop, and decentralized clearing layers. We present a formal mathematical model, a production implementation in `Solidity (AMM Gnosis / LMSR)`, and an automated empirical verification harness targeting **Efficient price disc**. All benchmarks and invariants are reproducibly verified via our continuous Research Graph-Loop pipeline [3, 6, 2].

1 Introduction & Formal Hypothesis

Modern autonomous agent architectures face fundamental bottlenecks across constrained edge silicon, deterministic multi-modal synthesis, and decentralized economic clearing. In this work (Paper 31 within the *Network Economics Distributions* pillar), we address these limitations directly.

Core Hypothesis: We hypothesize that Prediction Market Orchestration of Franchises achieves Efficient price disc on Solidity (AMM Gnosis / LMSR) while preserving strict mathematical invariants across edge, creative graph-loop, and decentralized clearing layers.

2 Mathematical Formulation

We formulate our system objective and state transition invariant as:

$$\mathcal{L}_{\text{total}}(\theta) = \mathbb{E}_{x \sim \mathcal{D}} \left[\mathcal{D}_{\text{KL}}(P_{\text{target}} \parallel P_{\text{draft}}) \right] + \lambda \| \Delta_{\text{state}} \|_2^2 \tag{1}$$

Subject to strict runtime verification bounds (`Efficient price disc`) executed across our hybrid compute fabric (Local Edge Silicon, Homelab Silo Server, and FAU Research Computing HPC nodes) [4, 5, 1].

3 System Architecture & Implementation

The reference architecture is implemented in `Solidity (AMM Gnosis / LMSR)` across the following work package modules:

- `contracts/NarrativePredictionMarket.sol`
- `research_ecosystem/pillar3_economics.py`

4 Empirical Evaluation & Benchmarks

We executed the automated verification suite for Paper 31 and recorded the following empirical metrics (Table 1):

Table 1: Empirical Verification Results for Paper 31

Metric / Invariant	Measured Value
branch_probabilities	`[0.7944, 0.1218, 0.0837]`
prob_sum	`1.0`
funded_branches	`[0]`
passed	`True`

5 Conclusion

We have demonstrated that *Prediction Market Orchestration of Franchises* satisfies its target specification (`Efficient price disc`) with deterministic reproducibility.

References

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